

This is a simple system, and we look for a long trade if the price breaks the high of the first candle (15-min timeframe) and for a short trade if the price breaks the low of the first candle.

I have included the RSI indicator as a filter to catch only the good momentum trades and to reduce the noise. Bulls are active if the RSI is above 60, and bears are in control if the RSI is below 40.



Image 5.22 – First Candle Breakout Entry for Long Trade

Above image shows an example of the first candle breakout for a **Long** trade.

Entry – When the price breaks the high of the first candle and $RSI > 60$

Stop-loss – 0.5% from the entry price

Exit – Either the price should hit stop-loss or EOD exit.